

Professorship of Corporate Law
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Introduction to Business Law

Trade Law

Summer term 2026



Trade Law

Revision questions

Case 1a)

- Prokura

Case 1b)

- Commercial letter of confirmation

Case 1c)

- Limitation of prokura
- § 56 HGB

Case 1d)

- § 377 HGB
-

What is the prerequisite for trade law to apply?

- Trade law = Special private law for merchants
- Merchant = Owner of a company acc. to §§ 1-5 HGB or trading company acc. to § 6 HGB
- HGB is applicable when at least one party (§ 345 HGB), in some cases both parties (§§ 346, 352 f., 369, 377 HGB) is/are merchant/s.
- A merchant needs to act in a legal transaction or operate a trade or commercial business

Revision questions

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**Name two special types of agency regulated in trade law.
Please explain their main characteristics.**

Prokura §§ 48 et seqq. HGB	Store power of attorney § 56 HGB
• Legally granted power of representation	
Scope of application & conditions: • Must be granted by owner of business or representative • Enables all types of judicial and extrajudicial transactions and legal acts apart from fundamental decisions	Scope of application & conditions: • Person employed in store/warehouse, which is open to public (with knowledge + consent of owner) • Authority to sell, receive or undertake any transaction customary to the type of store • Good faith
• Not restrictable vis-à-vis third parties for smooth processing of transactions	• Excludable by special notice in store

How can silence lead to a contract in trade law?

- **Principle:** Silence in response to a declaration of intent has no legal effect
- **Exception:**
 - **Commercial letter of confirmation**
 - Letter from a merchant to another merchant in which the content of an allegedly concluded contract is reproduced to secure evidence
 - In case the recipient does not immediately object to this letter, the contract was concluded with the content of the confirmation letter
 - **§ 362 HGB**

Case 1a) – Case facts

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Electrician E is the owner and operator of an electrical store. Since she has a lot to do and cannot manage everything on her own, she declares her employee P to be Prokurist and has this information entered in the commercial register. E hopes that this measure will relieve some of the burden on her day-to-day work.

When E needs a new supply of light bulbs, P writes the following email with his official email account to supplier S:

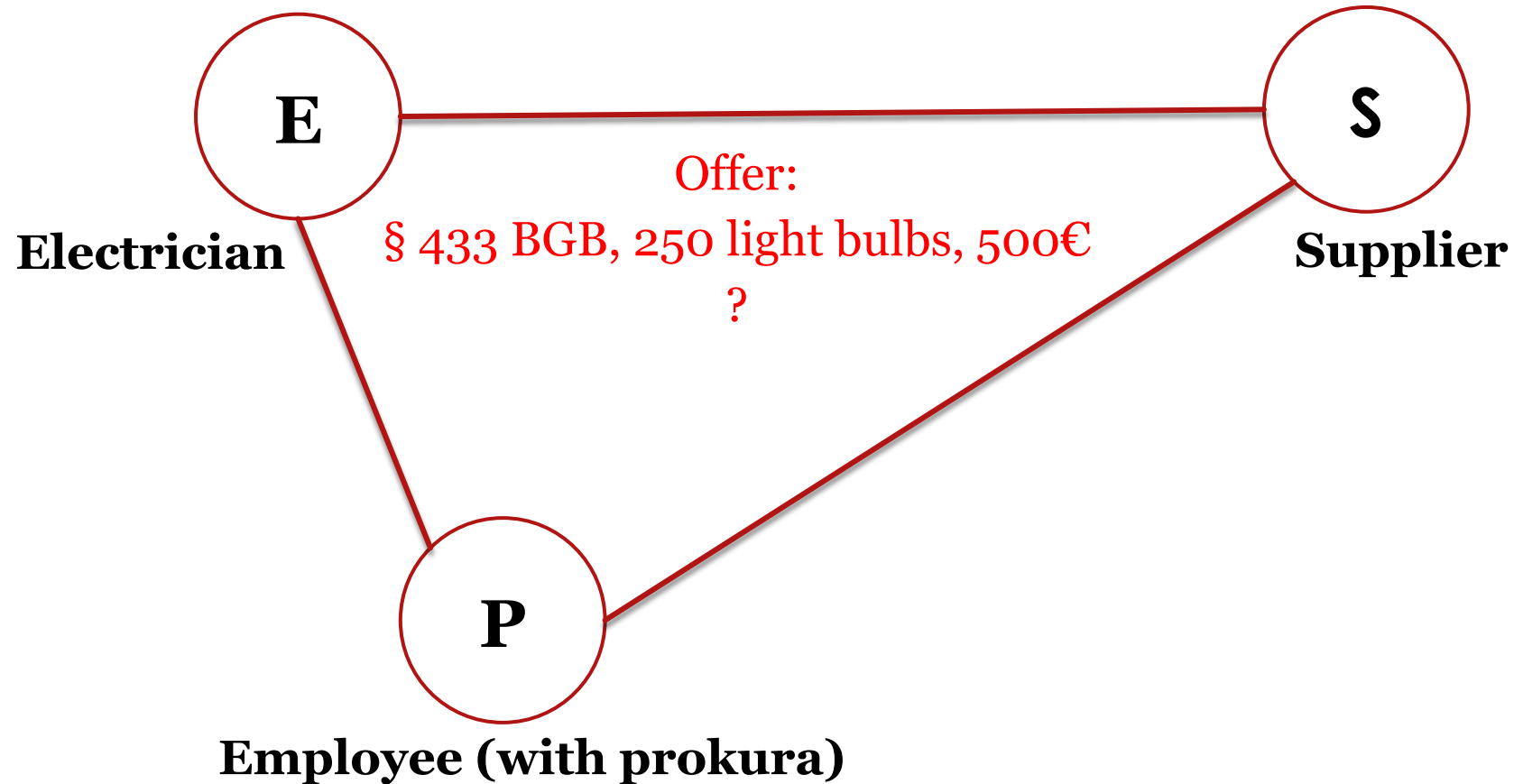
“Dear S,
I hereby want to order 250 light bulbs at a price of 2€. Please let me know, if this is possible.
Best regards, ppa. P“

Question: Did P effectively represent E?

Note: Assume that E, S and W are merchants.

Case 1a) – Case facts

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Question: Did P effectively represent E?

A. Effective representation, §§ 164 et seqq. BGB

I. Own declaration of intent by P, § 164 I 1 BGB (+)

- P makes an offer to buy 250 light bulbs at a price of 2€ from S

II. Principle of publicity, § 164 I 1 BGB

1. Explicitly (-)

- P does not state that he is acting for E

2. Implicitly, § 164 I 2 BGB (+)

- P uses his official email account from work
- P signs with ppa.

III. Power of representation, § 164 I 1 BGB

- By prokura (§§ 48 et seqq. HGB)?

1. Prokura issued, § 48 HGB (+)

- Conferred by E as an owner of a commercial business
- E conferred prokura explicitly
- Declaratory registration in commercial register, § 53 I HGB

2. Scope of prokura respected, § 49 HGB (+)

= All kinds of judicial and extrajudicial transactions and legal acts involved in the operation of a commercial business, § 49 I HGB

- P makes an offer to conclude a purchase agreement

3. No (effective) limitations, § 50 HGB (+)

- No indications for any limitations

4. Interim result

Prokura (+)

Power of representation (+)

IV. Result

Effective representation, §§ 164 et seqq. BGB (+)

Case 1b) – Case facts

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After receiving the email, S calls and tries to persuade P to buy twice the amount of light bulbs. P insists that only 250 are needed due to capacity reasons. At the end of the call, they agree on a quantity of 250 light bulbs at a unit price of 2€.

The next day, E receives a letter in which S refers to the conclusion of a contract for 500 light bulbs. Secretly S hopes that E will change her mind or at least not notice the different amount but E is visibly surprised by the letter. Nevertheless, E does not manage to reply due to stress and forgets about the letter.

Later, S delivers 500 light bulbs and demands payment of 1,000€. E is furious and counters that her employee P ordered only 250 light bulbs.

Question: Is E obliged to pay 1,000€ to S for the light bulbs?

A. Payment of purchase price (1,000€), § 433 II BGB

- Effective purchase agreement, § 433 BGB

I. Conclusion of a purchase agreement

1. Offer by P with effects for E by email (+)

- 250 light bulbs for 500€
- See case 1a)

2. Acceptance by S via phone call (+)

3. Counteroffer by S via phone call (+)

- Alteration is new offer, § 150 II BGB
- 500 light bulbs for 1,000€

4. Acceptance by P with effects for E via phone call (-)

- P insists that only 250 light bulbs are needed

5. Agreement via phone call

- 250 light bulbs for 500€

Interim result: Effective purchase agreement (+)

II. Alteration through commercial letter of confirmation

One-sided alteration is possible only between merchants

a) Personal scope of application (+)

- Both parties to the contract are merchants (see note)

b) Preceding contract negotiations (+)

- Parties discussed contract about 250 or 500 light bulbs
- Actual contract conclusion irrelevant

c) Reception of commercial letter of confirmation (+)

- Letter was sent immediately after negotiations and refers to them
- Reception on the next day is within 2 weeks mark

d) Recipient remains silent (+)

- E does not manage to reply due to stress
- E forgets about the letter

e) Sender can reasonably expect the acceptance of the letter's content and is in good faith

- **Strong contrast between the letter and the result of the negotiation**
 - 500 light bulbs are double the agreed amount
 - P explicitly declined 500 light bulbs
 - S knows that this is due to capacity reasons
 - No reason to believe that E needs more stock

- **S not worthy of protection via customary law**
 - S hopes (again) to change E's mind
 - Otherwise, S wants to use E's inattentiveness
 - S's motives are not aligned with the purpose of customary law
 - Aim: Facilitation and smoothness of transaction

f) Interim result

- Sender can reasonably expect the acceptance of the letter's content and is in good faith (-)
- Alteration through commercial letter of confirmation (-)

Result

E is not obliged to pay 1,000€ for 500 light bulbs to S acc. to § 433 II BGB in conjunction with the customary law on commercial letter of confirmations.

Instead E has to pay 500€ for 250 light bulbs acc. to § 433 II BGB.

Case 1c) – Case facts

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Even though electrician E and her employee P have had some trouble recently, P can keep his Prokura and remains registered in the commercial register. However, E wants to restrict P's authority to act on her behalf and prohibits P from making purchases worth more than 5,000€ without prior consent.

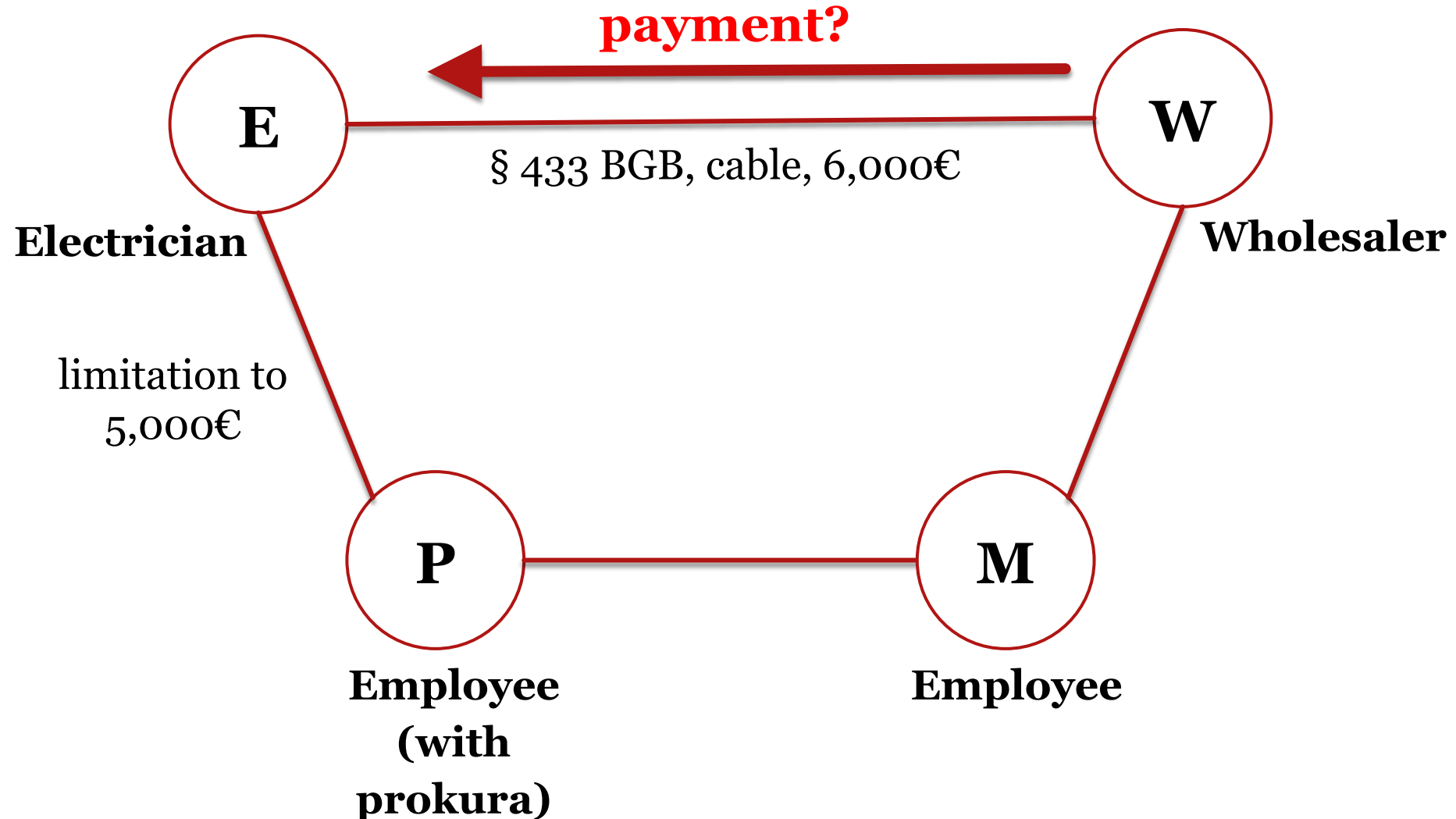
When E is on vacation, P is in charge of the business. He checks the inventory and finds that he needs to buy 1km of electrical cable with a diameter of 5mm (price 6,000€) from electronics wholesaler W. P goes to W's showroom and buys the cable from W's employee M.

E returns from her vacation three weeks later and finds the invoice for 6,000€. E feels betrayed by P and W and does not want to acknowledge the contract with W.

Question: Is E obliged to pay 6,000€ to W for the cable?

Case 1c) – Case facts

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A. Payment of purchase price (6,000€), § 433 II BGB

- Effective purchase agreement, § 433 BGB

I. Offer by E herself (-)

II. Offer by P with effects for E, §§ 164 et seqq. BGB

1. Own declaration of intent by P, § 164 I 1 BGB (+)

- P wants to buy 1km cable for 6,000€ from W

2. Principle of publicity, § 164 I 1 BGB (+)

- Enterprise related transaction

3. Power of representation, § 164 I 1 BGB

- By prokura (§§ 48 et seqq. HGB)?

a) Prokura issued, § 48 HGB (+)

- See case 1a)

b) Scope of prokura respected, § 49 HGB (+)

= All kinds of judicial and extrajudicial transactions and legal acts involved in the operation of a commercial business, § 49 I HGB

- P wants to conclude a purchase agreement

c) No (effective) limitations, § 50 HGB (+)

- Limitation to transactions with the amount of 5,000€
- Effective between P and E
- Ineffective vis-à-vis third parties, § 50 I HGB

d) Interim result

Prokura (+)

Power of representation (+)

Effective agency (+)

Offer by P with effects for E (+)

III. Acceptance by W herself (-)

IV. Acceptance by M with effects for W, §§ 164 et seqq. BGB

1. Own declaration of intent by M, § 164 I 1 BGB (+)

- M wants to sell 1km cable for 6,000€

2. Principle of publicity, § 164 I 1 BGB (+)

- Enterprise related transaction
- M is an employee in W's showroom

3. Power of representation, § 164 I 1 BGB

a) Explicitly (-)

- No information about the fact that M is explicitly authorized

b) Store power of attorney, § 56 HGB (+)

- M was authorized as employee in W's showroom to enter into a purchase agreement about the cable

c) Interim result:

Power of representation (+)

Effective agency (+)

Acceptance by M with effects for W (+)

V. Result:

E is obliged to pay 6,000€ for 1km cable to W acc. to § 433 II BGB.

Case 1d) – Case facts

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When the cable that P had ordered arrives on 1st July, E is on an important business trip and not on site. Therefore, P accepts the delivery. However, P still has a guilty conscience about having forced this order on E for 6,000€ and moves the cable drum to the farthest corner of the warehouse to suppress this embarrassment.

Two weeks later, P can no longer avoid it and has to process the cable. Only then does P notice that the delivery bill of the cable shows a diameter of 3mm. So P has to give his boss E another piece of bad news.

Question: Can E demand cure (in form of re-delivery of the cable)?

A. Claim E → W for cure, §§ 437 No.1, 439 I BGB

E could have a claim against W for cure in form of the re-delivery of the cable pursuant to §§ 437 No. 1, 439 I BGB.

I. Purchase agreement, § 433 BGB (+)

- See case 1c)

II. Material defect, § 434 BGB

1. Non-conformity with subjective requirements, § 434 II BGB

- No special agreements

2. Non-conformity with objective requirements, § 434 III BGB

- Cable is functioning
- Cable is how a cable with a diameter of 3mm should be

3. Wrong assembly, § 434 IV BGB

- No assembly required

4. Delivery of a different thing, § 434 V BGB (+)

- Cable with a diameter of 3mm instead of 5mm
- Cable was not the one that was ordered

5. Interim result: Defect (+)

III. Upon the passing of the risk, § 434 I BGB

→ Passing of the risk, §§ 446, 447 BGB (+)

- Cable with wrong diameter from the beginning

IV. No exclusion of warranty rights

1. Contractual exclusion (-)

- No indications for a contractual exclusion

2. Statutory exclusion

- § 377 II HGB: Legal fiction of approval when no examination or notification in due course takes place

Case 1d) – Solution

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a) Mutual commercial purchase, § 343 HGB (+)

= For both sides: A transaction conducted by a merchant that is part of carrying out his/her business

- E is a merchant (see note) buying cable is part of her electrical store
- W is a merchant (see note) selling cable is part of being an electronics wholesaler

b) Delivery of the goods to buyer or third party (+)

- Arrival on 1st July

c) Defect (+)

- See above

d) No examination in due course and no notification

aa) Case of an obvious defect (recognizable at proper inspection)

- Wrong diameter according to delivery bill
 - Also visible when looking and touching the cable
- Immediate notification to seller is necessary

Obvious or
hidden defect?

bb) By E personally (-)

- E was on vacation

cc) By P instead, § 278 BGB (+)

- P is used by E to fulfill her obligations towards W
- E is responsible for lack of examination and notification by P

dd) No fraudulent concealment of defect by seller, § 377 V HGB (+)

- No indication that W knew about the mix up

ee) Interim result

Goods are considered approved by E

Warranty rights are excluded, § 377 HGB

V. Result

E has no claim against W for cure in form of the re-delivery of the cable pursuant to §§ 437 No. 1, 439 I BGB.

Thank you
for your attention!

